

growth for last seven quarters, except the second quarter of FY25, despite facing supply chain challenges, grounded aircraft, depreciation of the rupee, and delay in aircraft deliveries. The airline has also emerged from a trying period; it saw losses for five consecutive financial years, before turning in a profit in FY24.

IndiGo has managed this turnaround at a time when the Indian aviation industry has seen many airlines go off the radar due to losses.

THE STRATEGY

Elbers says Indian aviation is scripting a new growth story as more people aspire to fly. The airline shunned its low-cost domestic carrier tag and forayed into the business segment in November 2024 with IndiGo Stretch and a loyalty programme. The response from customers has been overwhelming, says Elbers. Initially launched on the Delhi-Mumbai route, it will be rolled out on other high demand metro sectors through this year.

Domestic will remain the mainstay with the 'India by IndiGo' tag line, but international will contribute more to growth going ahead. "Domestic is the foundation. We operate to 91 domestic destinations and about 87% of the Indian population lives within 100 km of an IndiGo-served airport. But when we look at the number of routes, we still have a huge opportunity to build the domestic network, which is largely underserved," he says.

Internationalisation is part of the airline's plan to cash in on the massive growth potential outside the country. About 30% of the flying capacity as measured by the available seats per km is in the international market. This will increase as it is set to get four wide-body Boeing 787-9 aircraft on firm damp leases, where the airline will lease aircraft and some crew members for long-haul routes. One aircraft is already in service on the Delhi to Bangkok route and three others that will arrive in the second half of the year are likely to be pressed into

THE GROWTH STRATEGY

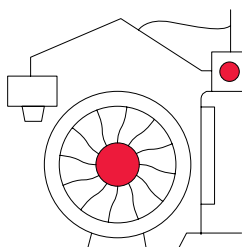
01 **IndiGo has placed orders for 932 aircraft, to be delivered over the next 10 years**

02 **30 A350 aircraft will be delivered by 2027 to expand its international footprint**

03 **It also has codeshare agreements with global airlines**

04 **The airline is additionally looking at wet leasing aircraft for capacity expansion**

05 **It plans to expand to newer domestic routes**



service on European routes.

Analysts remain optimistic on IndiGo's growth trajectory on the back of strong capacity addition and growth potential of the industry in India.

"We continue to maintain a positive view on IndiGo, given the robust outlook for the sector, its market leadership position (62%), and ability to leverage its extensive network, cost-efficient fleet, and healthy cash position," says Anil R, Senior Research Analyst at brokerage Geojit Financial. He adds that a strong domestic network and expanding international operations will drive growth.

Motilal Oswal Financial Services highlights IndiGo's international plans as a positive. "The management has also taken several pre-emptive measures to increase its global brand awareness as it expects to capture a bigger share of growth in the international market over the coming years," it said.

Elbers, who was the CEO of Dutch carrier KLM before joining IndiGo, says people abroad were often unaware of IndiGo when he joined. "Recently, I was talking to someone, and he told me he was in Finland and saw IndiGo on the signs at the airport. That is exactly what we need because there is going to be a time when IndiGo will fly directly to Helsinki. Also, we want to bring international travellers to India," smiles Elbers.

COMPETITION

The Indian aviation sector has gone through a period of consolidation in recent years, with the two biggest players—IndiGo and Air India—now accounting for more than 90% market share. The competition between them is heating up as both have placed huge orders for new aircraft.

Elbers says most big markets—the US, Europe, and China—have five-six big airlines, and the Indian aviation landscape is going through a phase that's similar to what happened in other regions. "If India wants to compete with airlines from across the world, we should have airlines